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**Adjusting entry**

| Date | Particulars | | L.F. | Debit ` | Credit ` |
|---|---|---|---|---|---|
| 2017 | Manager's commission A/c | Dr. | | 1,000 | |
| March 31 | To Outstanding Manager's commission A/c | | | | 1,000 |
| | (Commission on profit provided) | | | | |

**Transfer entry**

| Date | Particulars | | L.F. | Debit ` | Credit ` |
|---|---|---|---|---|---|
| 2016 | Profit and Loss A/c | Dr. | | 1,000 | |
| Mar. 31 | To Manager's commission A/c | | | | 1,000 |
| | (Manager's commission A/c transferred to profit and loss A/c) | | | | |

In final accounts, it is presented as follows:

**Dr. Profit and loss account for the year ended 31st March, 2017 Cr.**

| Particulars | ` | ` | Particulars | ` | ` |
|---|---|---|---|---|---|
| To Manager's commission | | 1,000 | | | |
| To Net profit (transferred to capital a/c) | | 10,000 | | | |

**Balance Sheet as on 31st March, 2017**

| Liabilities | ` | ` | Assets | ` | ` |
|---|---|---|---|---|---|
| Manager's commission outstanding | | 1,000 | | | |